

The tragedy of the commons



Picture a traditional village in which people make a living from the sale of wool, grazing their sheep on a collectively owned common pasture. The village prospers and more sheep are put to graze. But soon there are so many sheep that the grass is eaten faster than it can grow back. Eventually, the ground is bare and no sheep can be supported on it – the villagers' livelihood disappears.

This 'tragedy of the commons' comes about because when individual owners graze their sheep, they don't take account of the fact that this reduces the grass available to other villagers' sheep. Here the grass is a common resource: no one can be excluded from using it, but one person's use reduces that for others. The combined effect of the villagers' actions is self-defeating – if they could agree to limit the number of sheep, perhaps using taxes or quotas, their livelihoods could be

protected. This is what lies behind governments' attempts to regulate common resources such as water, roads and fish.